

amendments will continue to allow for trading centers to develop different fee models while also preserving the objectives of Rule 610(c). Further, market participants that post non-marketable orders are able to price their orders to accommodate the risk of adverse selection and rebates are not necessary for compensating this risk.

Reducing the access fee caps will help to alleviate the distortive effects of the preexisting level of access fees and the rebates they fund. The access fee caps were designed to protect limit orders and to assure that orders could be routed to those markets that were displaying the best-priced quotations.⁵⁵² As the Commission stated when it adopted the access fee caps, “[a]ccess fees tend to be highest when markets use them to fund substantial rebates to liquidity providers, rather than merely to compensate for execution services. If outlier markets are allowed to charge high fees and pass most of them through as rebates, the published quotations of such markets would not reliably indicate the true price that is actually available to investors or that would be realized by liquidity providers.”⁵⁵³ The Commission also discussed the potential distortionary effect of high fees and rebates on displayed quotes and sought to assure that displayed prices were within a limited range of net prices.⁵⁵⁴

In the current national market system, fees for access to protected quotes are typically charged at the highest amount allowed under Rule 610(c) and the vast majority of the fees collected are paid out as rebates.⁵⁵⁵ This practice results in displayed quotations prices that are

⁵⁵² See Regulation NMS Adopting Release, supra note 4, at 37545.

⁵⁵³ See Regulation NMS Adopting Release, supra note 4, at 37545. See also IEX Letter V at 3 (stating “there is an obvious and direct connection between high access fees and the extent to which displayed prices deviate from the true prices at which participants are prepared to trade.”).

⁵⁵⁴ See Regulation NMS Adopting Release, supra note 4, at 37502.

⁵⁵⁵ See infra section VII.C.2 and section VII.B.3 (stating most exchanges charge the maximum fee (in the range of 30 mils) and provide the maximum rebate (in the vicinity of 30 mils) and stating that the primary

not reflective of underlying economics of liquidity supply and demand, but rather displayed quotations prices that have been calculated to account for the receipt of a rebate.⁵⁵⁶ The Commission is concerned that this structure impairs the fairness and accuracy of displayed quotations.

The access fee caps set an outer limit on the cost of accessing protected quotations to “assure[] order routers that displayed prices [are] within a limited range, true prices.”⁵⁵⁷ In setting the maximum level for the access fees trading centers could charge market participants to access a protected quotation in 2005, the Commission specifically recognized that “some markets might choose to charge lower fees, thereby increasing their ranking in the preferences of order routers. . . while [o]thers might charge the full \$0.003 and rebate a substantial proportion to liquidity providers.”⁵⁵⁸ The Commission left it to the markets and competition to determine what strategies would be successful in attracting order flow, subject to the maximum access fee cap.⁵⁵⁹ Without an access fee cap, the Commission was concerned that certain markets would charge

reason that access fees remain near 30 mils on most exchanges is to fund rebates) and infra section VII.C.2.c, Table 4.

⁵⁵⁶ See infra section VII.B.3.

⁵⁵⁷ Regulation NMS Adopting Release, supra note 4, at 37502. See also IEX Letter IV at 4 and 15 (stating “[t]he purpose [for capping access fees] is not, and has never been, to allow exchanges to maintain rebate payments at current high levels.”).

⁵⁵⁸ Regulation NMS Adopting Release, supra note 4, at 37545 (stating that establishing the \$0.003 cap to “limit the outlier business model [and] plac[ing] all markets on a level playing field in terms of the fees they can charge and the rebates they can pass on to liquidity providers. Some markets might choose to charge lower fees, thereby increasing their ranking in the preferences of order routers. Others might charge the full \$ 0.003 and rebate a substantial proportion to liquidity providers. Competition will determine which strategy is most successful.”). See also Proposing Release, supra note 11 at 80348 (stating “The Commission recognizes that an access fee cap of 10 mils for stocks . . . would provide exchanges with enough pricing freedom to continue to offer economically meaningful rebate-tiering.”). One commenter stated that “diminished reliance on the maker-taker economics would encourage a variety of alternative market models for providing liquidity,” which in this commenter’s view would be consistent with the outcome the Commission anticipated in 2005, but which has not been realized. Decimus 2016 Letter at 11.

⁵⁵⁹ Regulation NMS Adopting Release, supra note 4, at 37545.

high fees and pass most of them through as rebates, which would undermine price discovery and price transparency.⁵⁶⁰ The Commission's concerns when it adopted Regulation NMS, that access fees might gravitate to the highest level permitted by Rule 610 and the impact on price transparency, have been realized to the detriment of investors.⁵⁶¹

As discussed below, the reduction in the access fees will improve market quality.⁵⁶² For those NMS stocks that are not experiencing a constraint on the quoted spread due to the minimum pricing increment, transaction costs will remain largely unchanged under the amendments as spreads will adjust on average to offset the reduction in access fees and rebates.⁵⁶³ For those NMS stocks that do experience constraint on the quoted spread due to the preexisting minimum pricing increment, transaction costs for liquidity seekers will go down and the oversupply of liquidity will be reduced, which will allow for shorter queues and higher fill rates.⁵⁶⁴ For these NMS stocks, the access fee functions as a tax on liquidity demand.⁵⁶⁵ Reducing the access fee in these constrained stocks will result in savings for investors.⁵⁶⁶

Further, while some commenters stated that exchange volume would decline and that OTC trading would increase if the access fee caps were reduced, as discussed below,⁵⁶⁷ analysis indicates that liquidity providers would not be deterred from quoting on exchange because they

⁵⁶⁰ Id. See also Better Markets Letter II at 3 (lowering access fees would “ensure that the fees charged to access a protected quotation do not distort the true price that is available to investors.”).

⁵⁶¹ See Proposing Release, supra note 11, at 80292 n.317 and accompanying text and 80290 n.302. See also infra section VII.A.

⁵⁶² See infra section VII.B.

⁵⁶³ See infra section VII.D.

⁵⁶⁴ See infra section VII.D.2.c.

⁵⁶⁵ See infra section VII.D.2.c.

⁵⁶⁶ See infra section VII.D.2.

⁵⁶⁷ See infra note 1469, and accompanying text.

will be able to widen their quote to reflect the reduced rebate, thereby receiving the same economic profit as they received with the rebate. Liquidity demanders would not be worse off because the reduction in access fee would offset, or, in the case of stocks with an economic spread of less than a tick, more than offset, the increase in spread.⁵⁶⁸

Some commenters stated that the reduced access fee caps would help to address potential conflicts of interest in routing decisions that may harm execution quality of customer orders.⁵⁶⁹ One commenter stated that “lowering the access fee cap would lead to a reduction in broker conflicts of interests.”⁵⁷⁰ Another commenter stated that the proposal “will help to reduce the extent of the conflict of interest in agency routing decisions.”⁵⁷¹ Another commenter stated “[w]e have long supported the Commission addressing the conflict faced by brokers related to incentives created by access fees and rebates in the maker/taker model” and that “a simple reduction of access fees across all venues to \$0.001 would go a long way in mitigating order routing conflicts.”⁵⁷²

Another commenter, however, stated that the Commission did not provide any new data to support its position that access fees and rebates are “actually harmful to the market” and further stated that “the Commission’s supposition that rebates present harmful conflicts-of-interest to brokers is not supported with evidence, and it ignores the countervailing benefits associated with rebates, which are essential tools for gathering the displayed quotes that form the

⁵⁶⁸ See infra section VII.D.2.c.

⁵⁶⁹ See, e.g., Proof Letter at 1; RBC Letter at 4; Ontario Teachers et al. Letter at 2; NASAA Letter at 9; Vanguard Letter at 6; BlackRock Letter at 10; Capital Group Letter at 4; Themis Letter at 7.

⁵⁷⁰ RBC Letter at 4.

⁵⁷¹ Proof Letter at 1.

⁵⁷² Capital Group Letter at 4.

NBBO.”⁵⁷³ Another commenter stated that “half of the rebates on Cboe accrue to non-agency market-making activity – thus, there is no real or perceived conflicts of interest” and for agency order flow, some of that flow is “‘directed’ meaning clients give specific instructions for the order to be routed to a particular venue for execution” and thus there similarly is no conflict.⁵⁷⁴ This commenter further stated, “brokers have a duty of best execution regardless of the pricing model used by the exchange.”⁵⁷⁵

The Commission disagrees with those commenters that questioned the existence of potential conflicts of interest. The Commission has received comments from market participants that have stated that potential conflicts of interest are a concern because of the fee/rebate models. Some commenters stated that fees and rebates that are currently benchmarked against the 30 mil cap have a negative impact on routing practices⁵⁷⁶ and one commenter offered evidence that “exchanges that pay the highest rebates often provide worse execution quality.”⁵⁷⁷ Another commenter provided data it said demonstrates that “poor execution quality is directly linked to high access fees.”⁵⁷⁸ Moreover, the Commission has heard similar concerns about potential conflicts of interest created by the fee and rebate schedules and their impact on market quality

⁵⁷³ Nasdaq Letter I at 2 (stating “It would be arbitrary and capricious for the Commission to proceed with the Proposal in the absence of evidence that the current fee cap is actually harmful to the market and without meaningfully weighing the costs and benefits of those reductions.”); Nasdaq Letter III at 6 (stating the Commission “did not cite any new research conducted subsequent to the Transaction Fee Pilot to support the SEC’s change of position that access fees and rebates are actually harmful.”).

⁵⁷⁴ Cboe Letter III at 5-6.

⁵⁷⁵ Cboe Letter III at 5-6.

⁵⁷⁶ See, e.g., IEX Letter IV at 2; Better Markets Letter I at 16.

⁵⁷⁷ Better Markets Letter I at 16.

⁵⁷⁸ IEX Letter VI at 7.

for many years.⁵⁷⁹ The 10 mils access fee cap is appropriate because it will mitigate the potential conflicts of interest associated with the current fee and rebate models, while still allowing exchanges to use rebates to attract liquidity.

c. Agency Market Business Model

Several commenters stated that the Commission should not consider whether the proposed lowered access fee caps would unduly impair current agency market business models⁵⁸⁰ as a factor in its analysis.⁵⁸¹ According to one commenter, “setting access fee caps, or designing any aspect of market structure, specifically to preserve or protect existing exchange fee models is an inappropriate policy rationale.”⁵⁸² Similarly, another commenter stated that it “is not the Commission’s role to ensure that trading centers ‘maintain their current net capture rate.’”⁵⁸³ Further, one commenter stated that while, in its opinion, it would be appropriate for the

⁵⁷⁹ For example, in 2018, one market participant stated that the preexisting level of the access fee cap may “create misaligned incentives and potential conflicts of interest for broker dealers’ routing and execution decisions . . . because broker dealers may elect to post non-marketable limit orders on market venues offering the highest rebate and bypass those venues where there is greater likelihood of execution, but a higher fee.” Goldman 2018 Letter at 3-4. This market participant went on to state that “[b]y maintaining the Fee Cap at the level adopted in 2005 as spreads have narrowed and commissions have decreased over the past 13 years, these misaligned incentives and potential conflicts of interest have grown.” *Id.* at 4. According to this market participant, adjusting the access fee cap to 10 mils “would reduce the effect of these misaligned incentives and the potential conflicts of interest.” *Id.* Further, a decade ago, one commenter stated “[a] reduction in the cap [to 10 mils] . . . would naturally move more executions back to exchanges.” Citigroup 2014 Letter at 7. Another commenter stated in 2015 that a reduction in the access fee cap to 5 mils (half of the amended level adopted today) would “still allow room for exchanges to provide rebates to market participants in order to incentivize liquidity, while at the same time significantly reducing the market distortions and unnecessary complexity that access fees have caused.” Letter from Theodore R. Lazo, Managing Director & Associate General Counsel, SIFMA, to Mary Jo White, Chair, Commission, dated May 24, 2015, at 2-3 (stating its support for BATS’ 2015 Petition for Rulemaking to, among other things, reduce the baseline access fee cap to 5 mils).

⁵⁸⁰ See Proposing Release, *supra* note 11, at 80270 n.35 (stating “[a]gency market trading centers are those that bring together buyers and sellers and typically charge a fee for their execution services.”). See also Regulation NMS Adopting Release, *supra* note 4, at 37545.

⁵⁸¹ See, e.g., Citadel Letter I at 22-23; Schwab Letter II at 36; SIFMA Letter II at 39-40.

⁵⁸² SIFMA Letter II at 39-40.

⁵⁸³ Schwab Letter II at 36. See also Virtu Letter II at 17-18.

Commission to “assess the impact of the proposed access fee cap on market participants’ varying business models,” it must “then account for the impact of the proposed access fee cap on all market participants and attempt to create the most competitive and effective environment on an overall basis, rather than doing so exclusively for exchanges.”⁵⁸⁴

In considering whether to adjust the level of the access fee caps, and if so, by what amount, the Commission has considered the impact of such modifications on market participants to help ensure that all investors will continue to have fair and non-discriminatory access to protected quotations and the Commission has not prioritized exchange revenues over other considerations. When the Commission adopted the access fee caps in Regulation NMS, it considered the impact of the caps on the agency market business model, as it has done in this release as well.⁵⁸⁵ Agency market trading centers have historically charged transaction fees for their agency services in bringing together buyers and sellers to execute transactions. The Commission is not prohibiting agency market trading centers from continuing to assess fees for providing execution services to access protected quotations. As discussed above, it was appropriate and consistent with its responsibilities under the Exchange Act for the Commission to consider the impact of the original access fee caps on the ongoing viability of different trading centers. Because of the important role agency market trading centers continue to play in the national market system, it is similarly consistent with the Exchange Act for the Commission to undertake a similar analysis today in adjusting the level of the caps.

⁵⁸⁴ Virtu Letter II at 18.

⁵⁸⁵ See Regulation NMS Adopting Release, *supra* note 4, at 37545 (“stating “the adopted [30 mills] fee limitation will not impair the agency market business model.”).

The Proposing Release estimated the effect on exchange net capture because exchanges are the only trading centers that impose fees for access to protected quotations at this time and, therefore, are subject to the access fee caps.⁵⁸⁶ Further, the Commission’s analysis in the Proposing Release appropriately considered the impact of proposed changes to Rule 610(c) on entities employing an agency market business model because Rule 610(c) applies to those entities and the Commission was cognizant of not compressing the access fee caps so far as to effectively eliminate such business models.⁵⁸⁷ As discussed above, the Commission stated that if markets are allowed to charge high access fees and pass most of them through as rebates, the published quotations of such markets will not reliably indicate the true price that is available and investors may be overcharged for taking liquidity.⁵⁸⁸ As discussed below, the Commission estimated the current net capture of the exchanges at approximately 2 to 6 mils and anticipates that will remain the same under amended Rule 610(c).⁵⁸⁹

As was the case with the original access fee caps, the amended fee caps will preserve the agency business model because trading centers will continue to be able to assess fees for transaction services at a level that will result in the same net capture as they earn today if they so choose. In this manner, the amended fee cap for protected stocks priced \$1.00 and above has been “drafted to have minimal impact on competition and individual business models while

⁵⁸⁶ The Commission used these same estimates to determine the changes in the amount that liquidity demanders would pay and the amounts that liquidity providers would receive. See Proposing Release, supra note 11, at section V.D.3 (discussing impact of the proposed lower access fee caps on exchanges’ net capture).

⁵⁸⁷ See Proposing Release, supra note 11, at 80290-91 (proposing new caps designed to “allow current business practices to continue while adjusting access fee levels to align with the proposed lower minimum pricing increments as well as reflect market innovations and technological efficiencies that have driven transaction costs down since rule 610(c) was adopted.”).

⁵⁸⁸ See Regulation NMS Adopting Release, supra note 4, at 37584.

⁵⁸⁹ See infra sections VII.C.2 and VII.D.2.b and notes 1101-1103 and accompanying text.

furthering the objectives of the Exchange Act by preserving the fairness and usefulness of quotations.”⁵⁹⁰ In determining the new levels of the access fee caps, the Commission has considered many factors, including allowing for a diversity of business models.⁵⁹¹ The amendments to Rule 610(c) will continue to allow the exchanges to provide execution services using their current business models, innovate and compete for order flow, while also reducing the costs to investors who must access protected quotations because access fees are being reduced to amounts above the exchanges’ net capture rates.

Exchanges are the only trading centers that currently display protected quotes in the national market system, and they play an important role in bringing together multiple buyers and sellers of securities.⁵⁹² Exchanges are also responsible for certain important processes in the national market system, including openings, re-openings, and closings on the primary listing market; trading halts; initial public offerings and exclusively listed securities. The exchanges, along with FINRA, are also responsible for producing data for the consolidated market data feeds as well as the operation of the exclusive SIPs. In addition, the Commission has recognized these functions as “critical” to the operation of the securities markets for purposes of imposing requirements under Regulation SCI, which established a regulatory framework for oversight of the core technology of the U.S. securities markets.⁵⁹³ Therefore, it continues to be appropriate to

⁵⁹⁰ See Regulation NMS Adopting Release, supra note 4, at 37545. For the reasons discussed, the new access fee caps will continue to “provide the necessary support for the proper functioning of the Order Protection Rule, and private linkages, while leaving trading centers otherwise free to set fees subject only to other applicable standards (e.g., prohibiting unfair discrimination.”). Id.

⁵⁹¹ See infra section VII.D.2.b. As discussed below, the fees charged by ATSs for execution services are often in the range of 10 mills. See infra section VII.C.2, note 1118 accompanying text.

⁵⁹² Rule 610(c) imposes the access fee caps on trading centers, which are defined to include other types of entities that can display protected quotes, including ATSs, OTC market makers and any broker or dealer that executes orders internally. 17 CFR 242.600(b)(106).

⁵⁹³ Securities Exchange Act Release No. 73639 (Nov. 19, 2014), 79 FR 72252 (Dec. 5, 2014) at 72277 (Final Rule “Regulation Systems Compliance and Integrity”).

consider the impact on this business model, i.e., the agency market business model, when considering amendments to the access fee caps.

d. Comments on the Proposed 10 mils Access Fee Cap

There was divergence of opinion around the appropriate level of the access fee cap for protected quotations priced at \$1.00 or greater.⁵⁹⁴ A number of commenters viewed 10 mils as the appropriate level.⁵⁹⁵ Commenters stated that a reduction in the level of the access fee cap to 10 mils is warranted because, among other reasons, it will result in lower costs to investors to access protected quotes;⁵⁹⁶ align access fees with other elements of investor transaction costs (all of which have decreased);⁵⁹⁷ recalibrate the access fee cap levels to reflect increased efficiencies, technological advancements and structural changes in the markets since Rule 610(c) was adopted;⁵⁹⁸ continue to allow for competitive business models and innovation;⁵⁹⁹ and align on-exchange pricing more closely with off-exchange venues such as ATSS.⁶⁰⁰ One commenter

⁵⁹⁴ See, e.g., supra notes 460, 463, 466 (recommending a reduction in fee cap to \$0.0015).

⁵⁹⁵ See, e.g., ASA Letter at 5 (strongly supporting 10 mils access fee cap for all NMS stocks); Better Markets Letter I at 16; BlackRock Letter at 10-11; BMO Letter at 3-4; Brandes Letter at 3; Boston Partners, Calamos Advisors, Glenmede Investment, and Janus Henderson Letter; Budish Letter; Capital Group Letter at 4; Council of Institutional Investors Letter at 3; IEX Letter IV at 1; Healthy Markets Letter I at 24; Ontario Teachers et al. Letter at 1-2; Themis Letter at 7-8; Vanguard Letter at 2 & 6; Invesco Letter at 2 and 4; JPMorgan Letter at 6; NASAA Letter at 9; Pragma Letter at 7; XTX Letter at 5; and Verret Letter II. See also supra note 422.

⁵⁹⁶ See, e.g., Ontario Teachers et al. Letter at 2; ASA Letter at 5; Council of Institutional Investors Letter at 3; Better Markets Letter I at 16.

⁵⁹⁷ IEX Letter VI at 1-2.

⁵⁹⁸ See, e.g., Ontario Teachers et al. Letter at 1-2; Brandes Letter at 3; Invesco Letter at 4; Vanguard Letter at 6; Verret Letter I at 5; Verret Letter III at 4-5; Letter from John Ramsey, Chief Market Policy Officer, IEX, dated Feb. 23, 2024 (“IEX Letter V”) at 2-3; IEX Letter VI at 4.

⁵⁹⁹ See, e.g., Proof Letter at 1; BMO Letter at 4; Verret Letter I at 9; Ontario Teachers et al. Letter at 1-2; Verret Letter III at 22.

⁶⁰⁰ See, e.g., RBC Letter at 4; BlackRock Letter at 11; Verret Letter I at 7; Verret Letter III at 4-5; IEX Letter V at 5; IEX Letter VI at 5. But see Letter from Kevin R. Edgar, Partner, Baker & Hostetler LLP, dated Feb. 7, 2024, (“Equity Markets Association Letter”) at 2 (stating “alleg[ations] . . . that access fees are excessive, both in an absolute sense and relative to ATSSes” are improper and further stating there is “no